14/4/16

Accounting Principles

I Very Short Answer Questions

Q1 Give two characteristics of accounting principles?
Ans (i) Accounting principles are man made.
(ii) Accounting principles are flexible.

Q2 What is Business entity concept?
Ans Business is treated as an entity seperate and distinct from its owners.

Q3 What is money measure concept?
Ans Only those transactions and events are recorded in accounting which can be expressed in terms of money.

Q4 What is going concern concept?
Ans Business will continue to exist for a long time in the future and there is no intention to close it or reduce its size significantly.

Q5 What is an accounting period concept?
Ans Entire life of an enterprise is divided into time intervals which are known as accounting periods at the end of which a profit and loss account is prepared to ascertain the profit and a balance sheet is prepared to ascertain the financial position.

Q6 Why capital of owner is shown on the liabilities side of balance sheet?
Ans Due to seperate entity concept.

II Short Answer Questions:-

Q1 "Revenue earned and cost of earning that revenue should be properly identified for a period." Explain this statement.
Ans This statement reflects the Matching Concept. It means revenue of a period must be matched with the cost incurred to earn it, ensuring correct profit measurement. For example, sales in April should be compared with April's expenses, not with costs of other months. This avoids misleading results and shows true performance.

Q2 "Capital is a liability for the business." Explain this statement with the principle applied.
Ans The capital is treated as a liability of the firm because it is assumed that the firm has borrowed funds from its own proprietors instead of borrowing it from outside parties. It is for this reason that we also allow interest on capital and treat it as an expense of the business. Interest on capita reduces the profits of the firm and at the same time it increases the capital of the proprietor.

Q3 What is the business accounting equation?
Ans The Basic Accounting Equation is:
Assets = Liabilities + Capital
It shows that all assets of a business are financed either by outsiders or by owners. This equation is the foundation of double-entry accounting.